

like those odds, even though, on average, if you had a lot of deals, it paid off well. I was always attracted to the periphery of risk arbitrage, such as hostile deals, meaning another bidder was coming in, or deals where there were interesting pieces of paper being offered instead of cash.

The fact that I understood options because of my summer job at Bear Stearns was also very helpful. In risk arbitrage, timing is very important. When is the deal going to close? If you have some edge in answering that question, you could gain leverage by using options that expire at a certain time. Also, by knowing the price at which a deal was going to close, you could find opportunities in options, which were critically dependent on price and which might be mispriced because the merger distorted the normal probability distribution assumption implicit in option prices. You could also use options to hedge deals that might break. There were so many interesting combinations.

Did you get involved in other event-driven types of trades as well?

We did some at Halcyon, but when I started out on my own, I was very attracted to special situation trades where there was something going on in the business and the usual rules didn't apply. It might be a spinoff, or a new piece of paper being issued, or a recapitalization, or a two-tiered tender offer—situations that the typical Wall Street analyst was not equipped to evaluate. I liked complicated situations. If there was a 400-page document to read, I was attracted to analyzing the deal because I knew most other people wouldn't read it.

How did you go from your job as an analyst at Halcyon to starting your own fund?

One of my friends, Bruce Newberg, who was one of the co-authors for the paper we wrote for the *Journal of Portfolio Management*, worked for Mike Milken. One day after I had been at Halcyon for about three years, I was talking to Bruce on the phone and happened to mention that if I could raise several million, I would go out on my own. Bruce called me back the next day and said, "Mike said fine." Milken ended up offering to invest twice what I had asked for, but I only wanted to start with \$7 million. I had been trading my own account while I was at Halcyon and making over 100 percent a year. I wanted to make sure I could run the